THEMATIC RESEARCH · BONDS AND GOLD

Bonds and Gold: When Safe Havens Stop Agreeing

The 10-year Treasury yield touched 5.31% on 5 October, its highest since 2002, then fell 36 basis points in October. Gold, which reached about $5,000 an ounce in the first quarter, fell below $3,900 on 30 October, its lowest level of the year. With inflation back near 4%, the usual hedge has behaved like a rate-sensitive asset. This report explains why, what the yield curve is saying and what would change the picture.

Global Markets Research · Rates and Commodities Desk Prepared by ANDRA MARKETS

~5.3%

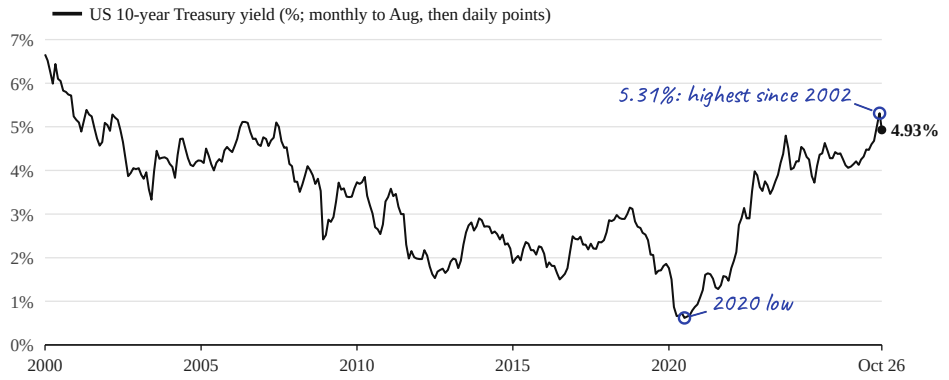
Coverage summary. The Treasury market had its most dramatic quarter in years. The ten-year yield rose about 54 basis points in September to 5.29% and peaked at 5.31% on 5 October, a 24-year high, while the 30-year reached 5.64% at the end of September. October reversed part of the move: the ten-year ended at about 4.93%, a seven-week low, and the 30-year at 5.31%, helped by Treasury Secretary Scott Bessent's announcement of larger buybacks of long-dated debt. Gold went the other way. After a record near $5,000 an ounce in the first quarter, it fell below $3,900 on 30 October, about 26% to 30% below its January peak, as hot US data and a likely December Fed hike pushed real yields higher and investors sold futures and ETFs.

gold down, inflation up

the hedge that didn't

10-YEAR PEAK	10-YEAR, 30 OCT	GOLD, 30 OCT	10-YEAR REAL YIELD
5.31%	**4.93%**	**$3,885**	**2.67%**
5 Oct; highest since 2002	*−36bp in October*	*lowest of 2026*	*28 Oct (TIPS)*

EXHIBIT 1. US 10-YEAR TREASURY YIELD SINCE 2000 (%)



back to 2002 levels

Sources: Federal Reserve via public 10-year yield dataset (monthly to August 2026); Stock Market Watch (30 Sep); Forbes Advisor (5 Oct peak, 30 Oct).

1.0 Executive Summary

Key takeaways

The rise in yields is about real rates. FatTail's decomposition finds that real yields accounted for about 91 of the ten-year's 101-basis-point rise since February; inflation expectations barely moved. The market is pricing a Fed that stays tight, not runaway inflation.

real, not inflation

gold = rate asset

That is why gold fell. Gold pays no yield, so higher real yields raise the cost of holding it. In 2026 its weekly link to breakevens has been close to zero and its link to real yields clearly negative: it has behaved like a rate-sensitive asset, not an inflation hedge.

The marginal seller set the price. Central banks bought about 170 tonnes this year after a record 288.9 tonnes in the second quarter, but leveraged futures traders cut about 84 tonnes in September and GLD lost $1.4 billion in October.

October brought bond relief. Yields fell on safe-haven demand during the tech sell-off and on Bessent's plan to buy back more long-dated debt, but gold kept falling because the Fed outlook, not the bond rally, drove real yields.

The risk has not gone. JPMorgan Private Bank expects Fed hikes in December and early 2027 that could lift the ten-year to 5.25% to 5.50%. Standard Chartered sees $3,886 as gold's key support.

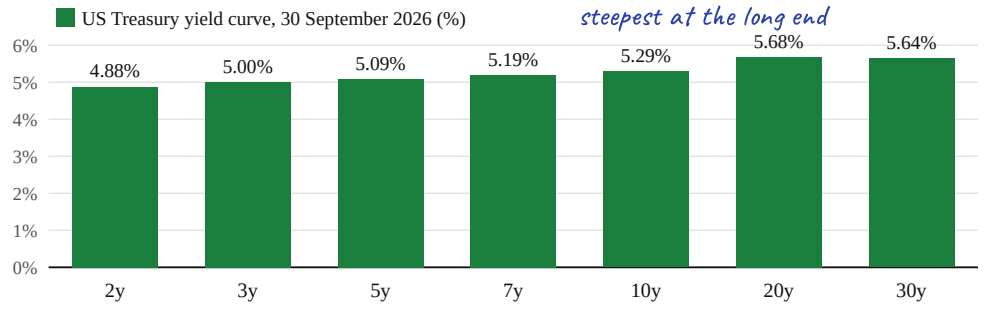
Our reading. Bonds and gold will move together again only when the Fed signals the end of tightening. A clear weakening in the labour market, starting with the 6 November jobs report, is the most likely trigger; until then real yields remain the anchor for both.

2.0 The Treasury Market

A 24-year high, then a retreat

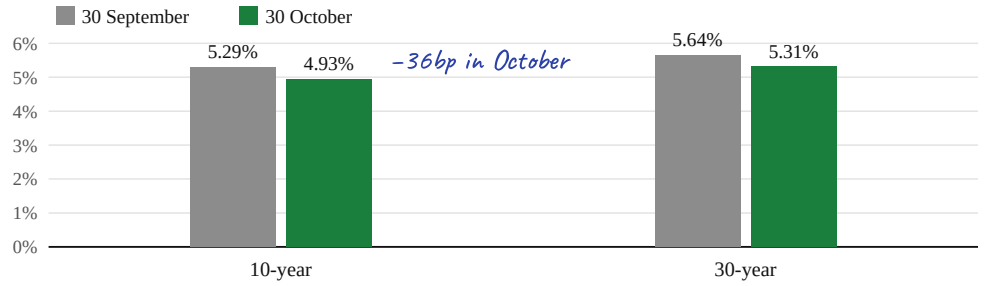
September was the shock. After the Fed's first hike since 2023 on 16 September, the ten-year yield jumped about 54 basis points to 5.29% and the 30-year about 39 basis points to 5.64%; the seven-to-ten-year Treasury ETF lost 3.7% in a month. The curve steepened: two-year yields ended September at 4.88%, five-year at 5.09% and twenty-year at 5.68%. The ten-year's peak of 5.31% on 5 October was the highest since 2002. October then retraced part of the move. The yield fell about 36bp to 4.93% on 30 October as investors sought safety during the technology sell-off and after Bessent said the Treasury would buy back more long-dated debt; yields still ended 0.86 points higher than a year earlier.

Exhibit 2. US Treasury yield curve, 30 September 2026 (%)



Source: Stock Market Watch, October 2026 monthly report (US Treasury data).

Exhibit 3. 10-year and 30-year yields, end-September vs end-October (%)



Sources: Stock Market Watch (30 Sep); Trading Economics and Forbes Advisor (30 Oct).

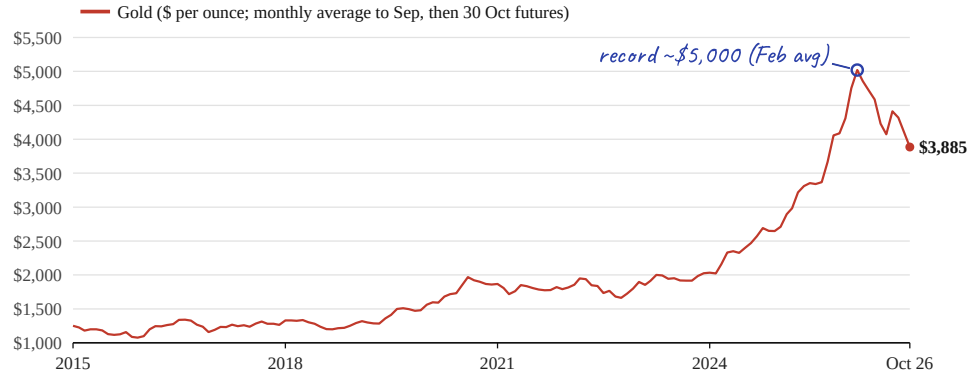
The composition of the rise matters more than its size. A nominal yield is the sum of the real yield, which TIPS pay, and the breakeven, the inflation the market expects. On 28 October the ten-year real yield rose to 2.67%. FatTail estimates that real yields explain about 91 of the 101 basis points the ten-year rose between February and late October. Investors are not demanding more compensation for inflation; they are pricing a Fed that keeps real policy rates high, which is what the October dissents and Friday's speeches by Musalem and Logan pointed to.

3.0 Gold

From record to yearly low

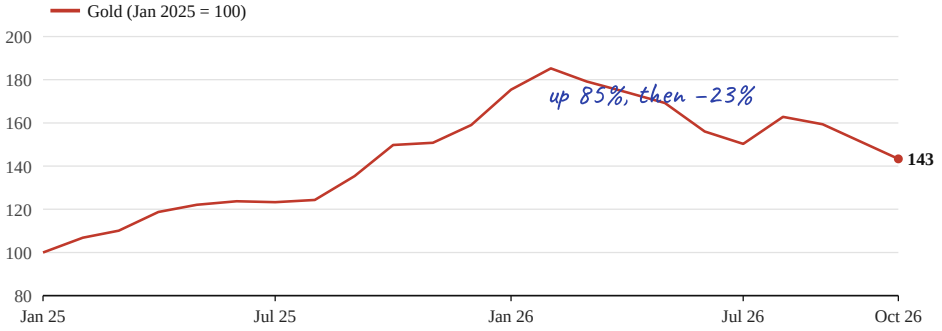
Gold had one of its best runs on record into early 2026. The monthly average rose from about $2,700 in January 2025 to about $5,000 in February 2026, driven by central-bank buying, the war in the Gulf and ETF inflows. It has since fallen for most of the year: the September average was about $4,300, the LBMA price fell 4.2% in the week to 23 October to $4,013, and futures settled at $3,885 on 30 October, down 3.6% on the day after hot PCE and GDP data. Benzinga reported gold at its lowest since October 2025. A safe haven has fallen during a war, an inflation shock and an equity sell-off, which is the clearest sign that rates now dominate.

Exhibit 4. Gold since 2015 ($ per ounce)



Sources: public gold-price dataset (monthly averages to September 2026); Investing.com (December futures settlement, 30 October 2026).

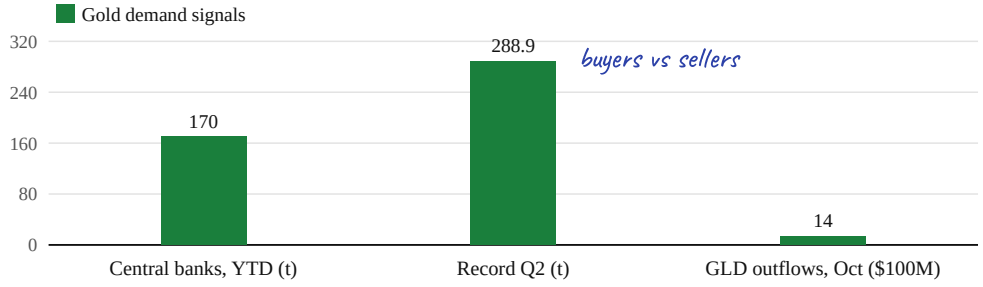
Exhibit 5. Gold since January 2025 (index, January 2025 = 100)



Sources: as Exhibit 4; Andra Markets calculations.

Not every buyer has left. Central banks bought about 170 tonnes in the year to September after a record 288.9 tonnes in the second quarter, and European ETFs kept attracting money even as North American funds saw outflows. But in September managed-money positions in futures fell about 84 tonnes, and in October GLD lost about $1.4 billion. As Discovery Alert put it, the marginal leveraged seller, not the long-term holder, set the price.

Exhibit 6. Gold buyers and sellers



Sources: Discovery Alert (central banks; managed money); Benzinga (GLD outflows in October, shown in $100M). Mixed units, for illustration.

4.0 Forecasts

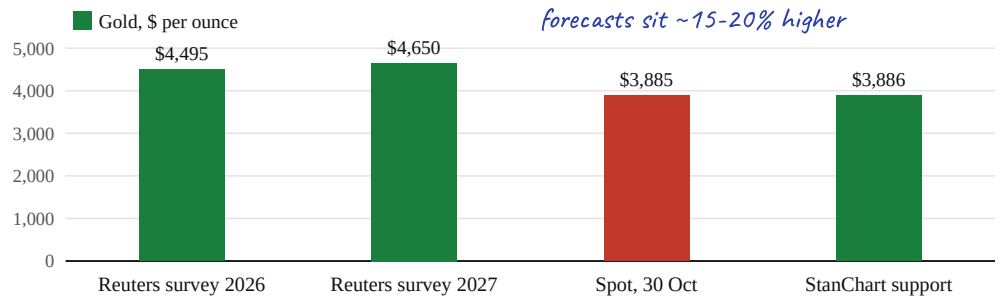
Where analysts see gold and yields

median $4,495

Forecasters have not abandoned gold. A Reuters survey puts the median 2026 average at $4,495 and 2027 at $4,650, well above the current price, implying that most expect a rebound once rates peak. JPMorgan Private Bank's Yuxuan Tang says gold will find a solid bottom when rates peak, but sees further downside first as the Fed hikes in December and early 2027, with the ten-year potentially reaching 5.25% to 5.50%. Standard Chartered's Suki Cooper says gold must hold $3,886 to avoid a deeper correction; it settled just below that on Friday. Fund managers quoted by Smart Finance say the bull market could resume if the Fed or Treasury caps yields, and that the main risk is stubborn inflation forcing more hikes.

~$4k

Exhibit 7. Gold: forecasts vs the market ($ per ounce)



Sources: Reuters survey via KuCoin News; Investing.com; Standard Chartered via The Currency Analytics.

5.0 What Would Change the Picture

Triggers to watch

jobs first

Three things would turn bonds and gold back into allies. The first is a weaker labour market: Kitco quotes analysts who see a material deterioration in US activity, particularly jobs, as the clearest catalyst, because it would price out hikes and push real yields down. The second is a Fed pause signal at the 9 December meeting. The third is policy on the long end: Bessent's larger buybacks of long-dated debt have already helped, and any further step to cap long yields would help gold. A central-bank pause alone is unlikely to be enough, Kitco's sources argue; the data must turn first.

Exhibit A. Andra Markets scenarios to year-end

Scenario	Prob.	10-year	Gold	Trigger
Fed hikes once, then pauses	50%	4.8-5.2%	$3,800-4,300	jobs cool gradually; Dec hike priced in
Higher for longer	30%	5.2-5.5%	below $3,800	hot jobs and CPI; more hikes priced
Growth scare	20%	4.3-4.8%	above $4,300	weak payrolls; risk-off; hikes priced out

Andra Markets scenarios; probabilities and ranges are judgemental.

Exhibit B. Calendar

Date	Event	Why it matters
3 Nov	US midterm elections	fiscal and energy outlook
6 Nov	October jobs report	the key test for real yields
Mid-Nov	October CPI	inflation trend
Early Nov	Treasury refunding details	supply at the long end
9 Dec	Fed decision	hike and guidance

Andra Markets selection; dates indicative.

reading: real yields, not inflation, now drive both bonds and gold. they agree again only when the Fed signals the end

Methodology and Source Notes

Method. This report uses public datasets of monthly US 10-year Treasury yields (Federal Reserve) and gold prices, daily points from Forbes Advisor, Trading Economics, Stock Market Watch and Investing.com, and analyst commentary as reported by the press up to 31 October 2026. Some charts combine monthly averages with recent daily values, as labelled. Scenario probabilities are judgemental. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. Federal Reserve (via public datasets); US Treasury; Forbes Advisor; Trading Economics; Stock Market Watch; Investing.com; FatTail; Discovery Alert; Benzinga; Kitco; World Gold Council via ScrapMonster; Reuters via KuCoin News; Yahoo Finance; The Currency Analytics; Smart Finance; FXStreet.

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